Spin-off Institutional Composite

As of 2/28/2015

HORIZON KINETICS

Investment Approach

- The Spin-off strategy leverages Horizon's rich history of researching spin-offs and corporate restructurings dating back to 1994.
- Corporate restructurings often lead to discounted valuations as traditional analyst and investor research either overlooks new operating companies, or relies on less transparent historical fundamentals.
- The portfolio holds select domestic and international spin-offs as well as additional types of divestitures and restructurings across all market capitalizations.

Portfolio Construction

- The strategy generally seeks to avoid significant portfolio turnover which has historically averaged 30 to 35% per annum.
- The portfolio typically holds 35 to 60 securities and position sizes generally range from 0.5% to 10.0%.
- The portfolio seeks to manage co-dependency across business models and does not measure risk versus a specific benchmark.

Investment Time Horizon:
5+ Years

Representative Benchmark:
S&P 500

Asset Under Management:

Horizon Kinetics ($bln)	9.2
Horizon Institutional ($bln)	3.3
Strategy ($mm)	257
Composite ($mm)	151

Inception Date:
January 1997

Portfolio Manager:
Murray Stahl
37 yrs investment experience

(1)Horizon Kinetics LLC is the parent company to Horizon Asset Management LLC, Kinetics Asset Management LLC, and Kinetics Advisers, LLC, each of which is an SEC-registered investment adviser.
(2)Horizon Institutional is defined as the traditional, long only separate accounts and private investment fund assets managed by Horizon Asset Management LLC. Horizon Institutional excludes separately managed, non-direct accounts and other accounts that either are serviced by wrap/dual contract sponsors or utilize a wrap or bundled fee structure. Please refer to Important Disclosures on the following page.

Performance Statistics	MTD	QTD	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	ITD
Total Return (gross)	7.5	3.9	3.9	2.4	19.0	17.0	11.1	15.1
Total Return (net)	7.5	3.8	3.8	1.4	17.8	15.8	10.0	13.9
S&P 500 Return	5.7	2.6	2.6	15.5	18.0	16.2	8.0	7.9
Excess Return (gross)	*1.8*	*1.4*	*1.4*	*-13.1*	*1.0*	*0.8*	*3.2*	*7.2*
Standard Deviation (%)	—	—	—	13.7	12.3	15.6	18.5	17.3
Tracking Error (%)	—	—	—	6.7	6.3	6.1	8.2	10.5
Sharpe Ratio	—	—	—	0.2	1.5	1.1	0.6	0.8
Information Ratio (arith)	—	—	—	*-1.9*	*0.2*	*0.1*	*0.4*	*0.7*
Beta	—	—	—	1.5	1.1	1.1	1.1	0.9
UpMkt Capture Ratio (%)			131	86	111	110	123	112
Down Capture Ratio (%)			111	248	123	115	115	81

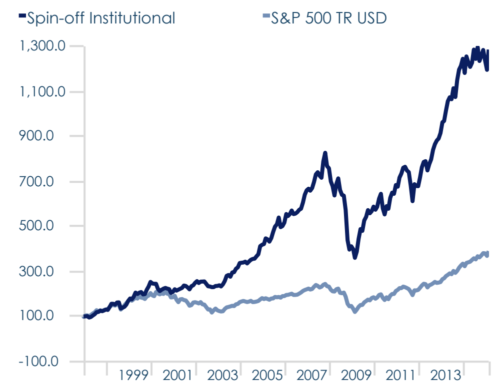
Top 10 Holdings	% Port
Howard Hughes Corporation	10.6%
Madison Square Garden Company	6.0%
Liberty Media Corp Class C	5.8%
IAC/InterActiveCorp.	4.9%
Time Warner Inc.	4.6%
Onex Corporation	4.2%
Viacom Inc. Class B	3.8%
DISH Network Corporation Class A	3.8%
Liberty Interactive Corporation Class A	3.8%
CBS Corporation Class B	3.2%

Strategy Characteristics	
Number of Positions	59
Avg. Market Cap. (B)	14.2
P/E [1]	19.9
Price/Book [1]	2.0
Dividend Yield	0.7%
Turnover (1 Year) [2]	7.8%

(1) Weighted Harmonic Average
(2) Based on Model Portfolio

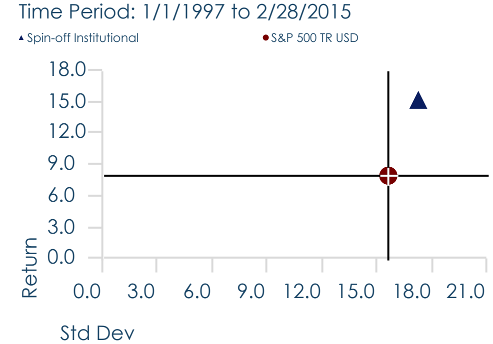
Cumulative Growth of $100 *(gross)*

Time Period: 12/31/1996 to 2/28/2015



Risk/Reward *(gross)*

Time Period: 1/1/1997 to 2/28/2015



Source: Morningstar Direct

Spin-off Institutional Composite

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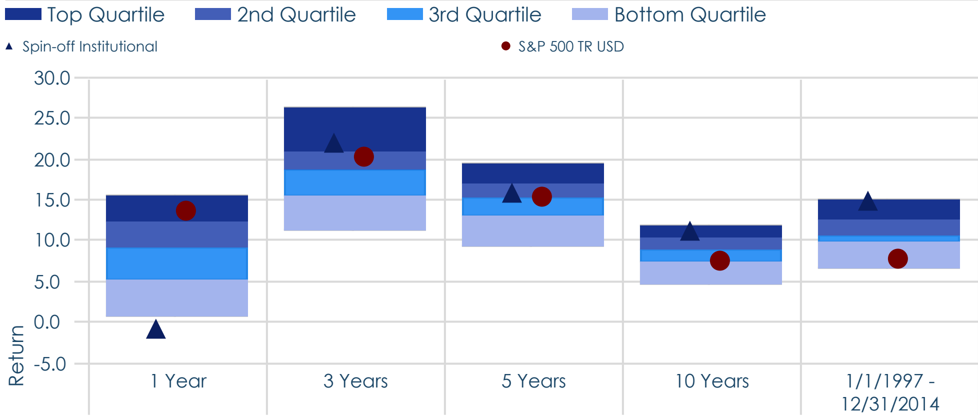
As of 2/28/2015

Performance Relative to Peer Group *(gross)*

As of Date: 12/31/2014   Peer Group (5-95%): Morningstar Institutional - All Cap



Monthly Performance *(gross)*

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	Index
2015	-3.3	7.5											3.9	2.6
2014	-5.1	6.2	-2.1	-1.7	1.5	4.8	-3.2	4.2	-4.8	1.9	2.0	-3.7	-0.6	13.7
2013	5.2	0.6	4.8	4.0	1.7	-0.8	4.6	-3.5	7.0	4.1	1.4	2.6	36.1	32.4
2012	5.8	6.2	3.2	0.5	-5.2	3.7	2.8	5.3	2.9	1.9	1.0	2.8	34.8	16.0
2011	-1.1	5.9	2.5	3.5	0.6	-2.2	-1.0	-8.0	-10.2	12.3	-1.2	-0.1	-0.8	2.1
2010	-2.4	2.3	6.2	3.4	-10.0	-4.6	6.7	-2.0	8.4	3.7	-0.8	6.1	16.3	15.1
2009	-3.2	-9.6	7.7	14.6	9.7	-1.6	9.6	3.0	5.5	-2.5	1.7	3.5	42.8	26.5
2008	-7.7	-3.0	-6.1	7.9	3.7	-7.2	-3.3	-0.6	-10.1	-23.3	-9.6	3.7	-45.7	-37.0
2007	1.1	-1.3	1.8	3.9	4.9	1.3	-2.1	-1.3	10.2	4.9	-7.2	-1.2	14.9	5.5
2006	7.4	-1.6	1.6	2.9	-2.8	0.4	1.2	1.9	0.8	4.7	5.7	3.1	27.8	15.8
2005	0.8	6.0	-1.0	-2.3	3.6	6.1	5.0	2.1	5.9	-8.0	1.0	3.0	23.5	4.9
2004	0.4	0.3	1.1	-2.3	2.6	2.2	1.1	0.3	2.9	2.5	9.6	1.5	24.0	10.9
2003	1.1	-2.2	4.1	6.0	9.0	1.4	-2.7	6.9	0.4	5.3	1.8	6.1	43.0	28.7
2002	3.0	-3.4	2.5	0.1	0.3	-4.2	-4.5	-0.5	-1.2	0.1	2.2	0.2	-5.5	-22.1
2001	5.8	-2.8	2.0	1.8	1.8	4.7	-0.8	-2.9	-3.7	6.5	1.6	4.7	19.5	-11.9
2000	-2.8	-0.5	0.0	-9.1	-4.5	2.7	2.4	1.4	-1.3	-1.0	-7.7	2.1	-17.6	-9.1
1999	6.4	-2.4	6.8	9.8	-3.2	3.0	1.4	-5.1	0.7	9.7	6.5	8.8	49.8	21.0
1998	-1.5	9.3	11.1	-0.2	-2.5	6.3	0.4	-16.8	2.8	2.8	6.7	10.9	29.3	28.6
1997	0.5	1.1	-6.4	2.8	6.7	5.4	8.3	0.9	5.0	-2.2	2.6	3.3	30.9	33.4

Source: Morningstar Direct

Definitions: Historical Statistics

- *Excess Return is the measurement of a portfolio's return minus the return of the representative index.*
- *Standard Deviation is a statistical measure of the degree to which an individual value in a probability distribution tends to vary from the mean of the distribution.*
- *Tracking Error is the standard deviation of a portfolio's return relative to a benchmark.*
- *Risk Adjusted Return is a measure of how much an investment returned in relation to the amount of risk it took on; specifically, it is the ratio of strategy return over its volatility.*
- *Information Ratio is a ratio of portfolio returns above the returns of a benchmark (usually an index) to the volatility of those returns.*
- *Beta is a measure of the volatility, or systematic risk, of a security or a portfolio in comparison to the market as a whole.*
- *Up-Market Ratio is the statistical measure of an investment manager's overall performance in up-markets. The ratio is calculated by dividing the manager's returns by the returns of the index during the up-market.*
- *Down-Market Ratio is the statistical measure of an investment manager's overall performance in down-markets. The ratio is calculated by dividing the average manager's returns by the average returns of the index during the down-market.*
- *Turnover is the lower of total buys or total sells divided by the average market value of the account. Turnover ratio is calculated by Fiserv APL.*

Important Disclosures

Horizon Asset Management Institutional ("Horizon Institutional" or "the firm") is defined as the traditional long only separate accounts and private investment fund assets of Horizon Asset Management LLC. ("Horizon" or the "firm"), an SEC-registered investment adviser and a wholly owned subsidiary of Horizon Kinetics LLC. Horizon Institutional excludes separately managed, non-direct accounts and other accounts that either are serviced by wrap/dual contract sponsors or utilize a wrap or bundled fee structure. The firm maintains a complete list and description of composites, which is available upon request via CSBD@horizonkinetics.com.
Horizon Institutional claims compliance with the Global Investment Performance Standards (GIPS®).
The Spin-Off Institutional Composite seeks above market long-term returns by investing primarily in a focused portfolio of common stocks of global issuers with a particular emphasis on spin-offs, carve-outs and other forms of corporate restructurings.
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